Solar Industries India Ltd

Concall Tracker, Q2-2027 update | Screener ticker: SOLARINDS | Prepared 6 Nov 2026 | Builds on the Q1-2027 report | Not investment advice

1. Snapshot

What it does: Solar is the world's biggest single-site maker of industrial explosives, the stuff miners and road builders use to break rock. On top of that it has built a fast-growing defence business: rocket propellant, ammunition, the Pinaka rocket, drones and counter-drone systems. It sells to miners, governments and armies in 90+ countries.

Measure	Value	What it means in plain words
Market value	₹1.68 lakh cr	What the whole company is worth on the stock market. A very large company.
Q2 FY27 sales (Jul-Sep 2026, consolidated)	₹3,519 cr	Up 69% on ₹2,082 cr a year ago. A touch below Q1's record ₹3,668 cr, which is normal for the monsoon quarter.
Q2 FY27 net profit	₹650 cr	What it kept after every cost. Up 80% on ₹361 cr a year ago.
Q2 operating margin (EBITDA)	29.0%	EBITDA = profit before interest, tax and depreciation. Twenty-nine paise of it on every rupee of sales, above the ~28% they guided for.
H1 FY27 sales	₹7,187 cr	First six months, up 70%. Already more than half the ₹14,000 cr full-year goal, and the second half is usually the stronger one.
Order book	₹20,178 cr (defence ₹17,568 cr)	Work won but not yet billed. Down from ₹21,350 cr last quarter because billing ran faster than new wins. Still well over a year of sales.
Price-to-earnings	~121x	On Screener's standalone numbers. You pay a lot for each rupee of profit, so the market's already pricing in big growth.

2. Concall coverage

Quarter	Date	Read?
Q4 FY23 → Q3 FY26 (12 calls)	May 2023 - Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26	15 May 2026	Read in the Q4-2026 report
Q1 FY27 results (no call transcript filed) + Omnia deal call (prior boundary)	13 Aug / 15 Sep 2026	Read in the Q1-2027 report
Q2 FY27 earnings call	**4 Nov 2026**	**Newly deep-read in full ★**

That's about three and a half years of calls in all. Only the Q2 FY27 call was read fresh this time; the backstory comes from the two earlier reports. This is the first proper earnings call since May, since Q1 had no transcript.

2b. Latest concall highlights: Q2 FY27 (call held 4 Nov 2026)

- **Another huge quarter.** Sales ₹3,519 cr (up 69%), operating profit ₹1,021 cr (up 75%), net profit ₹650 cr (up 80%). Plain read: the Q1 jump wasn't a one-off.
- **Guidance effectively raised.** The CEO said they'll "surpass" the ₹14,000 cr FY27 sales goal and expects margin to average above 29% for the year, up from the ~28% guided in May. They didn't put a new number on it, citing raw-material and supply-chain swings.
- **Defence crossed ₹1,000 cr in a quarter for the first time** (₹1,002 cr, 29% of sales). First-half defence is ₹1,935 cr against a ₹4,500 cr year goal, and he still says they'll cross it.
- **Next big order: Guided Pinaka, about ₹3,000 cr,** in final price talks. Management "very optimistic" it's signed before March 2027. That would take the Pinaka family to roughly ₹9,000 cr of orders.

- **Tone:** confident on the business, tight-lipped on everything else. Omnia questions were turned away twice, and FY28-29 targets were deferred to the May call.

2c. Business mix & capacity

Mix (Q2 FY27 sales, as stated on the call): Indian explosives 27%, overseas explosives 43%, defence 29%. Plain read: over two-thirds of sales now come from outside Indian mining. (The call's Q1 split of 29 / 46 / 24 differs from the deck-based split in our last report; we're using management's own call figures here.) Most of the defence order book is from overseas buyers.
Capacity: no single utilisation figure is given (too many products and plants). Management expects its own Indian explosive volumes to grow 10-15% a year against roughly 6-7% for the industry, helped by the new plants. A 155 mm shell facility is set up and waiting on orders.

2d. Since our last report

Builds on the Q1-2027 report (boundary: the Omnia deal call, 15 Sep 2026). Prior verdicts: trigger **YES**, consistency **YES with a caveat** on defence targets.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Defence and exports are live, real drivers.	Defence over ₹1,000 cr in a quarter, overseas still 43% of sales, Indian mining strong even in the monsoon.	Confirmed
Consistency: YES (caveat)	Big-picture delivery good, yearly defence targets slip.	Sales and margin running ahead of guidance. Defence H1 ₹1,935 cr; H2 needs about ₹2,565 cr, or roughly ₹1,280 cr a quarter, to hit ₹4,500 cr.	On-track (defence watch stays)
FY27 ₹14,000 cr sales goal	Q1 already ahead of pace.	H1 ₹7,187 cr. Management now says it'll surpass the goal.	Improving
Guided Pinaka order	Not specifically tracked.	Final negotiation, ~₹3,000 cr, expected by March 2027.	New watch item
Omnia deal	Large debt-funded buy, needs approvals.	No update. Questions on closing and the farm business were declined.	Pending
Inventory build (~₹1,600 cr)	Expected to unwind over ~2 quarters.	Not discussed on the call.	Unknown

Verdict change: both verdicts unchanged. Q2 backs the trigger again. Consistency stays YES because sales and margin keep beating what they promised. The defence caveat stays, and the silence on Omnia is a small mark against transparency, not yet against delivery.

3. Earning Trigger thesis ★

Solar's growth sits on two engines over a cash-making explosives base. Defence has an order book of about ₹17,600 cr, mostly from overseas buyers, and crossed ₹1,000 cr of quarterly sales for the first time. Overseas explosives keep growing. Indian mining explosives had a strong monsoon quarter too. Coming next: the Guided Pinaka order, the Bhargavastra counter-drone system (field trials due this calendar year) and missile programmes opening to private firms, which management puts about two years out. Omnia, if it closes, would be a second step-up in FY28 but carries debt and a farm business Solar has never run.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Defence (Pinaka, propellants, ammunition, drones)	Cross ₹4,500 cr in FY27. Guided Pinaka ~₹3,000 cr order before March.	Q2 ₹1,002 cr, H1 ₹1,935 cr. Defence	Live, multi-year	Strong. Yearly target still stretched.	Unchanged

		order book ₹17,568 cr.			
Overseas explosives	Keep growing through acquisitions and new plants.	43% of Q2 sales, the biggest single segment.	Live	Strong	Unchanged
Indian mining explosives	10-15% volume growth a year, better in H2.	Strong monsoon quarter as coal offtake hit records.	Ongoing	Moderate. Cyclical.	↑ Improving
New defence products (Bhargavastra, missiles, 155 mm)	Bhargavastra trials this calendar year. Missile orders in ~2 years.	Trials, no commercial orders yet.	FY28+	Unproven	New
Omnia acquisition	Combined FY28 sales over ₹30,000 cr (Sep call).	Awaiting approvals. No new information.	FY28	Unproven	Unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 defence	₹800 cr, cut to ₹650 cr	~₹517 cr	Missed
Pinaka order	"Imminent" for about two years	Signed 2025, billing from Q4 FY26	Delivered late
FY26 sales / margin	Cross ₹10,000 cr at ~27%	₹9,838 cr at 27.95%	Delivered
FY26 defence	Over ₹3,000 cr	₹2,634 cr	Missed
Exports	15-20% a year	+18% FY25, +32% FY26, still the biggest segment in FY27	Delivered+
FY27 sales	₹14,000 cr (May 2026)	H1 ₹7,187 cr; now "will surpass"	On track, ahead
FY27 margin	~28%	29.0% in Q2, 28.45% in H1	Ahead
FY27 defence	₹4,500 cr	H1 ₹1,935 cr, needs a much bigger H2	Too early, behind pace
Omnia	Close the deal, FY28 combined targets	No update, questions declined	Too early

Narrative drift: none. The story is still defence plus exports on a steady explosives base, the same as three years ago. What's shifted this quarter is tone with investors. On the business they were open; on Omnia and the FY28-29 numbers they shut the door until the May call. That's fair for a deal in approval, but it means shareholders are carrying a big debt-funded bet with little new detail. The defence pattern hasn't changed either: big yearly numbers, delivered later than said.

5. Bottom line: two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

Q2 confirms it again. Sales up 69% with every segment pulling, defence above ₹1,000 cr for the first time, margin climbing and an order book still worth well over a year of sales. Guided Pinaka and the counter-drone line give the next leg. The one soft spot is that the order book shrank a bit this quarter, so the next big wins matter.

Management consistent? → YES, with a caveat

vs last quarter: unchanged

Nothing new pushed this down. They said ₹14,000 cr at ~28% margin and they're now running ahead of both. The caveat is unchanged: yearly defence targets run ahead of delivery, and hitting ₹4,500 cr needs a second half far bigger than anything they've done. Add one new watch: management wouldn't talk about Omnia at all. How the deal closes, and whether defence lands near target, will decide this verdict next quarter.

Sources: Solar Industries Q2 FY27 earnings call transcript (4 Nov 2026, via Screener.in / exchange filing); prior Q1-2027 and Q4-2026 concall-tracker reports; Screener.in financial data. Not investment advice. Do your own due diligence.